



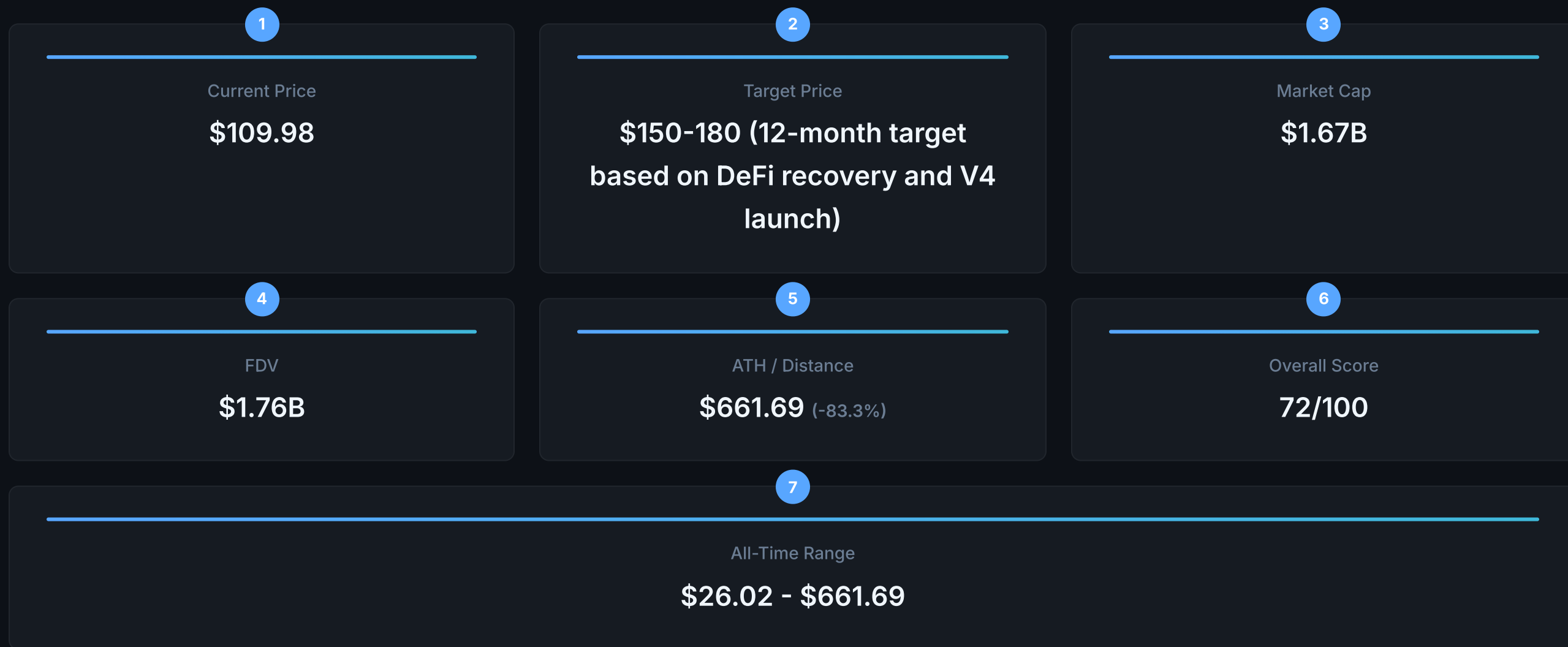
Aave | \$AAVE | Decentralized Finance (DeFi), Yield Farming | Avalanche

HOLD

\$150-180 (12-month target based on DeFi recovery and V4 launch) Target (37-64% upside potential from current levels)

02.10.2026

1. Scoreboard (Quick Stats)



Market leader with massive TVL but struggling with governance issues and price momentum

Category Scores

Price Chart & Trading Levels



TradingView chart - 90 days

ENTRY ZONE

\$105.0675 -
\$114.8925

STOP LOSS

\$84.4350

TAKE PROFIT TARGETS

TP1: \$139.4550
TP2: \$159.1050
TP3: \$168.9300

RISK:REWARD

1:2.3

SUPPORT LEVELS

\$80.5050
\$60.8550

RESISTANCE LEVELS

\$661.6900
\$385.8350
\$139.4550

2. Monthly Changes



Price Action

Severe underperformance with -34% monthly decline, breaking key support levels amid governance tensions and DeFi sector rotation



TVL / Protocol

TVL holding relatively stable at \$27.5B despite 4.9% weekly decline, demonstrating protocol resilience during market stress



Volume & Liquidity

\$327M daily volume indicates healthy liquidity but reflects broader selling pressure across DeFi tokens



Community & Holders

719k+ holders with governance participation hitting records (1.8M AAVE voting power), showing engaged but divided community



Development Activity

Zero commits in past 4 weeks raises concerns, though V4 development continues with milestone achievements toward security audits



Strategic Updates

Major governance conflict over revenue sharing with Labs resolved through compromise; V4 launch timeline progressing despite delays

4. Team & Development

Team & Founders

Doxxed**Experienced****Industry Pioneer**

Stani Kulechov represents one of DeFi's most accomplished and credible founders, with a proven track record from ETHLend's 2017 launch through Aave's evolution into the sector's dominant lending protocol. His legal background and public identity provide unusual transparency for crypto leadership.

However, recent governance conflicts with Aave Labs and questions around development velocity suggest potential leadership challenges. The team's expansion into adjacent products like Lens Protocol may be diluting focus from core protocol development.

- > Founders Doxxed: **Yes**
- > Team Size: **medium**
- > Key Members: **Stani Kulechov (Founder/CEO)**
- > Previous Projects: **ETHLend, Lens Protocol**

Development Activity

**1076**

STARS

**726**

FORKS

**0**

COMMITTS/4W

**26**

CONTRIBUTORS

Commit Activity (52 weeks)

0 commits (52w)

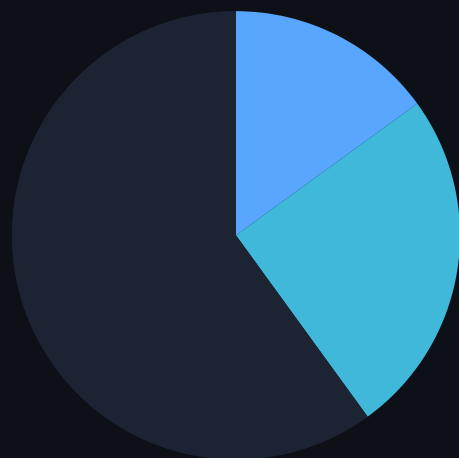
→ 0 last 4w

[→ View Repository on GitHub](#)

Aave operates the most mature and battle-tested DeFi lending protocol, with V3 deployed across multiple chains and handling \$27.5B in TVL. The product demonstrates exceptional resilience and security through multiple market cycles.

V4 development promises significant technological advancement but faces timeline uncertainty. Current zero development commits raise questions

4. Holder & Whale Activity



■ Team/Foundation ■ Top Holders ■ Circulating

i Strong holder distribution with 719k addresses provides stability, while founder Stani Kulechov's recent token purchases signal confidence during governance disputes. Institutional flows like HTX's 300M USDT deposit demonstrate continued institutional adoption despite retail weakness.

- > Circulating Supply: **15.19M**
- > Total Supply: **16.00M**
- > % Circulating: **95%**
- > Top 10 Holder Concentration: **~25-35%**
- > Exchange Reserve Trend: **Stable**
- > Next Token Unlock: **Check vesting schedule**
- > Team Vesting Status: **Ongoing**

TOTAL HOLDERS

719,175

ACTIVE (7D)

4,102

5. Seven Essential Metrics



Protocol Revenue

Moderate



TVL Growth

Moderate



Staking / Real Yield

Variable



Treasury Runway

Strong



Token Concentration

Moderate



Risk Score

Medium

Token Supply



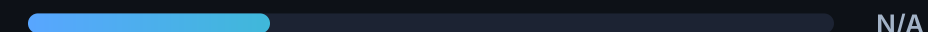
Circulating / Total

~95%

Valuation

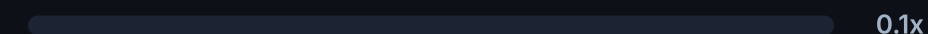
FDV / Revenue

~N/A



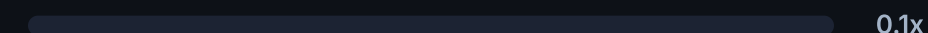
MC / TVL

~0.1x



FDV / TVL

~0.1x



Aave remains the dominant force in DeFi lending with \$27.5B TVL, but faces significant headwinds from governance tensions, recent 34% monthly decline, and technical stagnation. Despite strong fundamen

7. Revenue & Protocol Metrics

\$1.80M

Daily Fees

N/A

Daily Revenue

\$90.49M

30d Fees

N/A

7d Change

N/A

Competitor Comparison

Protocol	TVL	24h Revenue	30d Fees	TVL Change (7d)	MC/TVL
AAVE	\$27.50B	\$1.80M	\$90.49M	-4.9%	0.1x
COMP	\$1.29B	N/A	N/A	-2.6%	N/A
MKR	N/A	\$1.11M	\$33.79M	N/A	N/A
MORPHO	\$5.85B	\$301.98K	\$22.85M	-4.6%	N/A

8. Competitive Snapshot

Aave maintains commanding DeFi lending market share with 4-5x higher TVL than closest competitors like Compound or MakerDAO. The protocol's multi-chain deployment across 8+ ecosystems provides defensive moat against single-chain lending platforms.

However, competitive pressure intensifies from newer protocols offering higher yields and MakerDAO's resurgent DAI growth challenging Aave's GHO stablecoin ambitions.

Main Competitors

Compound

Original DeFi lending pioneer but significantly smaller TVL

MakerDAO

Strong in stablecoins but limited lending scope

Venus Protocol

BSC-focused competitor with higher yields but lower security

✓ Competitive Advantages

- ✓ Massive TVL and liquidity
- ✓ Multi-chain deployment
- ✓ Proven security record
- ✓ Institutional adoption

✗ Competitive Disadvantages

- ✗ Governance tensions
- ✗ Development concerns
- ✗ Complex tokenomics

Network effects from TVL dominance create self-reinforcing liquidity advantages, while multi-chain presence and institutional trust provide defensive barriers against newer competitors

7. Business & Strategy Flash

Aave operates the largest DeFi lending protocol with diversified revenue streams from borrowing fees, liquidation penalties, and flash loan premiums. The protocol's conservative risk parameters and overcollateralized lending model have proven resilient through multiple market cycles.

Revenue growth drivers include GHO stablecoin adoption, V4 efficiency improvements, and expansion into institutional DeFi segments. However, the recent governance dispute over Labs revenue sharing highlights tokenomics challenges that could impact long-term value accrual.

V4 development represents the next major growth catalyst, promising improved capital efficiency, enhanced security, and better UX through Position Managers and tokenization features. The roadmap includes Aave Pro for institutions and expanded GHO deployment across additional chains.

Strategic expansion beyond lending through Lens Protocol and Family wallet diversifies the ecosystem, though core focus remains on maintaining DeFi lending dominance through technological superiority and risk management excellence.

8. Monetary-Policy Sensitivity

! Rate Cut Impact

Highly positive - rate cuts drive institutional and retail capital into DeFi yield farming, directly benefiting lending protocols

Aave exhibits strong positive correlation with monetary easing as lower traditional yields push investors toward DeFi alternatives. However, this sensitivity creates vulnerability during rate normalization cycles, as demonstrated in 2022-2023 performance.

9. SWOT

Strengths

- Dominant market position with \$27.5B TVL
- Multi-chain deployment across 8+ ecosystems
- Proven risk management and security track record

Opportunities

- V4 launch with enhanced capital efficiency
- Institutional DeFi adoption acceleration
- GHO stablecoin growth potential

Weaknesses

- Governance conflicts affecting sentiment
- Development activity concerns
- Token price underperformance

Threats

- Regulatory scrutiny of DeFi protocols
- Competition from newer high-yield platforms
- Market cycle dependency

10. Risk Assessment

 Key Risks

-  Governance conflicts impacting execution
-  Development velocity concerns
-  DeFi market cyclicalities
-  Regulatory uncertainty

Primary risks include governance instability from recent Labs conflicts, development execution concerns evidenced by zero recent commits, and exposure to DeFi market cyclicalities. Regulatory scrutiny of lending protocols represents a growing systematic risk.

Technical risks remain relatively low given the protocol's security track record, though V4 complexity introduces new smart contract risks. Market positioning provides defensive characteristics but also limits upside during DeFi rotations.

Overall Risk

Medium

Regulatory Risk

Medium

Technical Risk

Low

Market Risk

Medium

11. Catalysts & Event Risks



V4 launch represents the most significant near-term catalyst, potentially driving TVL growth and fee generation. Successful GHO expansion could establish Aave as a major stablecoin issuer, while institutional adoption trends favor established protocols with strong security records.

12. Investment Signals

▲ KEY CATALYSTS (BULLISH)

- ▲ V4 launch with enhanced features
- ▲ Institutional DeFi adoption wave
- ▲ Rate cut environment driving yield seeking

▼ KEY CONCERNS (BEARISH)

- ▼ Governance instability affecting execution
- ▼ Zero development activity
- ▼ DeFi sector rotation continuing

13. Verdict + Technical Correlation

Aave remains the undisputed leader in DeFi lending with unmatched scale and security, but faces a challenging transition period marked by governance tensions and development concerns. The protocol's fundamental strengths - massive TVL, multi-chain presence, and institutional trust - provide a solid foundation for recovery.

However, the recent governance conflict and zero development commits signal execution risks that could impact the V4 timeline. While the technical roadmap remains promising, investors should monitor resolution of internal tensions and renewed development momentum before expecting significant outperformance.

The investment case hinges on successful V4 deployment and broader DeFi market recovery. Patient investors with 12-18 month horizons could benefit from current weakness, but near-term volatility remains elevated pending governance clarity and development progress.

Verdict

RATING

HOLD

TARGET

**\$150-180 (12-month
target based on DeFi
recovery and V4 launch)**

TIME HORIZON

12-18 months

Report generated by Trading Command Center
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